ROE Thresholds, Big 4 Auditors, and Earnings Management

	Abs. DD DA	Abs. REM	DD DA	REM
Panel: ROE 0%				
Threshold × Big 4	-0.218	0.009	0.299*	-0.129***
	(0.189)	(0.041)	(0.182)	(0.046)
Big 4	0.205	-0.016	-0.292	0.082**
	(0.189)	(0.039)	(0.179)	(0.041)
Threshold	0.038	0.011	0.030	0.056
	(0.034)	(0.032)	(0.035)	(0.039)
Observations	2,040	2,074	2,040	2,074
Panel: ROE 6%				
Threshold × Big 4	-0.012	-0.016	-0.010	-0.010
	(0.009)	(0.022)	(0.011)	(0.026)
Big 4	0.000	0.024	0.018*	-0.044*
	(0.009)	(0.021)	(0.010)	(0.024)
Threshold	0.009	0.001	0.004	0.008
	(0.006)	(0.005)	(0.007)	(0.007)
Observations	6,495	6,542	6,495	6,542
Panel: ROE 10%				
Threshold × Big 4	0.033	-0.026	0.047	0.097**
	(0.033)	(0.032)	(0.072)	(0.049)
Big 4	0.022	-0.034	0.003	-0.014
	(0.023)	(0.031)	(0.037)	(0.044)
Threshold	-0.009	0.007	-0.016	0.001
	(0.012)	(0.014)	(0.016)	(0.022)
Observations	340	282	340	282
Panel: Pooled				
Threshold × Big 4	-0.027	-0.019	-0.018	-0.005
	(0.017)	(0.020)	(0.017)	(0.025)
Big 4	0.024	0.024	0.033	-0.046**
	(0.025)	(0.019)	(0.025)	(0.023)
Threshold	0.014*	0.005	0.007	0.001
	(0.007)	(0.005)	(0.008)	(0.006)
Observations	8,931	8,956	8,931	8,956

Notes: SE clustered by firm. Earnings-quality controls and mis_dummy. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.